

ECON 101: Macroeconomics

Quiz 6

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Multiple Choice Questions (1 mark each)

Each question is worth 1 mark. Choose the best answer.

1. The Bank of Canada's primary monetary policy instrument is:
 - (A) Open-market purchases
 - (B) The required reserve ratio
 - (C) The target overnight interest rate
 - (D) Foreign exchange interventions
2. If the Bank of Canada lowers the target overnight rate, the most immediate effect is:
 - (A) Decrease in bank reserves
 - (B) Increase in short-term market interest rates
 - (C) Decrease in consumption spending
 - (D) Increase in settlement balances and lower short-term rates
3. An open-market *sale* of government securities by the Bank of Canada will:
 - (A) Increase the money supply and reduce interest rates
 - (B) Reduce bank reserves and raise interest rates
 - (C) Increase bond prices and lower yields
 - (D) Shift aggregate demand to the right

4. The monetary policy transmission mechanism begins with:
- (A) Changes in consumption and investment
 - (B) Movements in the exchange rate
 - (C) A change in the policy interest rate
 - (D) Shifts in long-run aggregate supply
5. If the Bank of Canada raises interest rates, the Canadian dollar tends to:
- (A) Depreciate, increasing exports
 - (B) Appreciate, reducing net exports
 - (C) Stay constant due to inflation targeting
 - (D) Fall against the US dollar but rise against the euro
6. Which of the following is *part* of the Bank of Canada's inflation-control strategy?
- (A) A fixed money supply growth rate
 - (B) A 2% inflation target midpoint
 - (C) Exchange-rate targeting
 - (D) Wage growth ceilings
7. Contractionary monetary policy in the AD–AS model will:
- (A) Shift AD to the right and raise inflation
 - (B) Shift SRAS to the left and raise inflation
 - (C) Shift AD to the left and lower real GDP in the short run
 - (D) Shift LRAS to the right and increase long-run growth

Problem (13 marks)

The Bank of Canada considers the following reaction function when setting its target overnight interest rate:

$$i = 1 + 1.2(\pi - 2) + 0.4(Y - Y^*),$$

where:

- i = target overnight rate (percent),
- π = actual inflation rate (percent),
- 2 = inflation target midpoint (percent),
- $Y - Y^*$ = output gap (percent, positive if economy is above potential).

New data show:

$$\pi = 3.1\%, \quad Y - Y^* = +0.8\%.$$

- (a) Compute the recommended Bank of Canada target overnight interest rate using the reaction function. Show all steps. (4 marks)
 - (b) Explain whether the resulting policy is expansionary or contractionary. (2 marks)
 - (c) Describe, step by step, how an increase in the policy rate affects consumption, investment, exchange rate, and net exports. (4 marks)
 - (d) Using the AD–AS model, explain how this policy helps bring inflation back toward the 2% target. (3 marks)
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End of Quiz